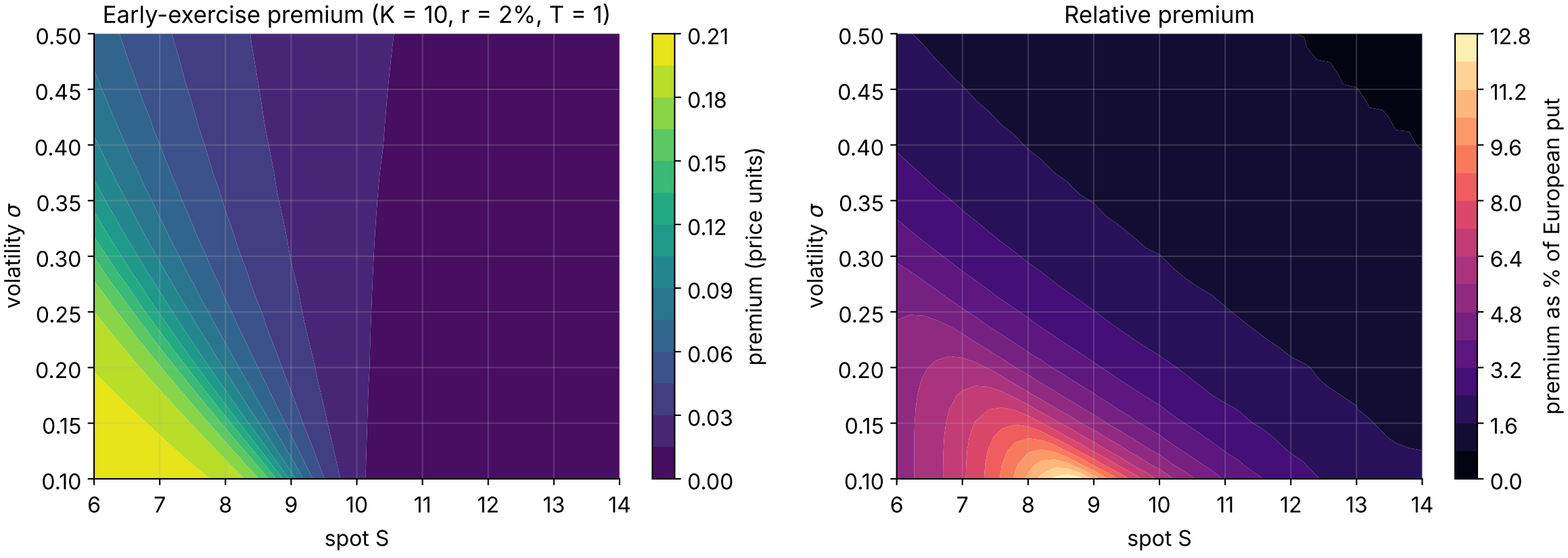
Early-exercise premium (K = 10, r = 2%, T = 1)
volatility σ
spot S
premium (price units)
0.50
0.45
0.40
0.35
0.30
0.25
0.20
0.15
0.10
6
7
8
9
10
11
12
13
14
0.21
0.18
0.15
0.12
0.09
0.06
0.03
0.00
Relative premium
volatility σ
spot S
premium as % of European put
12.8
11.2
9.6
8.0
6.4
4.8
3.2
1.6
0.0